

The Business Cycle

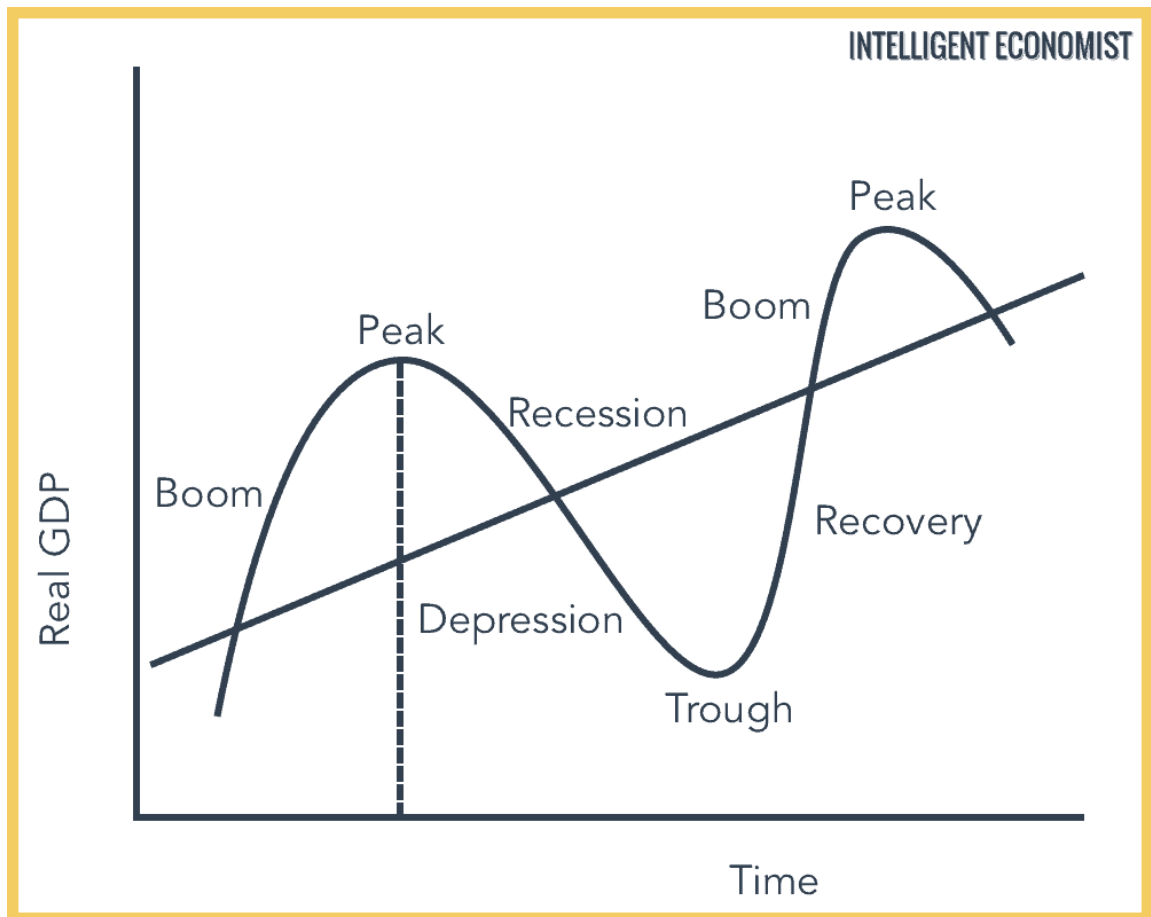
 Chapter	7
 Date	Week 3 and 4, Term 2
 Objectives	• the concept of the business cycle • the phases of the business cycle, and the characteristics of each phase • indicators of economic activity □ leading indicators, including share prices, building loan approvals, new employment vacancies, business and consumer confidence, and stock/inventory levels □ coincident indicators, including retail sales, and new car registrations □ lagging indicators, including unemployment rates/levels and inflation rate • the economic objectives of the Australian Government □ sustainable economic growth □ low unemployment (full employment) □ low inflation (price stability) □ a more equitable distribution of income □ the efficient allocation of resources
 Resources	Y11 Econs - BTC.pptx

Consolidation

The BTC

▼ What is the Business Trade Cycle?

A model that represents the alternating periods of expansion and contraction in economic activity relative to the trend in the economic growth rate that the economy experiences over time



▼ **What are the characteristics of a peak?**

- High level of economic growth
- The economy is at or reaching full employment
- A high level of inflation
- A high level of market confidence
- High interest rates
- High AE

▼ **What are the characteristics of a downswing?**

- A declining level of economic growth
- The economy is moving away from full employment as unemployment rises
- A declining level of inflation
- Interest rates are decreasing

- Declining level of market confidence
- Declining AE

▼ **What are the characteristics of a upswing?**

- An increasing level of economic growth
- The economy is moving towards full employment
- Inflation is rising
- Interest rates are rising
- Market confidence is rising
- Rising AE

▼ **What are the characteristics of a trough?**

- Low levels of economic growth
- The economy has high unemployment
- Inflation is low
- Interest rates are low
- Low market confidence
- Low AE

▼ **What are economic indicators?**

Economic indicators are statistical measures used to measure the growth or contraction of the economy as a whole or sectors within the economy, as well as to forecast financial or economic trends

▼ **What are leading indicators?**

Indicators that predict trends in the economy before they happen

- Reflects expectations
- Consumer and business confidence, building approvals, inventory levels

▼ **What are co-incident indicators?**

Indicators that tell us what is happening now in the economy

- GDP, retail sales, manufacturing

▼ **What are lagging indicators?**

Indicators that tell us what has happened in the economy

- Unemployment rates, interest rates, consumer debt

▼ **What are pro-cyclical indicators?**

Indicators which move in the same direction as the economy

- GDP, growth statistics

▼ **What are counter cyclical indicators?**

Indicators that move in opposite direction to the economy

- Unemployment

Government Objectives

▼ **What is the sustainable economic growth objective?**

Maintaining a rate of growth that can be sustained without creating significant economic problems for future generations

GDP growth of 3-4% p.a.

▼ **What is the price stability objective?**

Low, stable rates of inflation to support economic growth

Inflation rate of 2-3% p.a.

▼ **What is the full employment objective?**

When everyone who is willing and able to work can find a job

Occurs when cyclical unemployment is zero

Indicated by the natural rate of unemployment of 5%

▼ **What is the equitable distribution of income objective?**

Achieved through a progressive tax system as well as welfare payments

More of a "like to have" for the government

▼ **What is the efficient allocation of resources objective?**

Where the government seeks to stop abuse of market power and market failure to ensure efficient allocation of resources

More of a "like to have" for the government

